

LM03 Guidance for Standards I-VII

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Introduction

This is a long reading, which provides guidance and recommended compliance procedures for each standard. Several examples are also given on how the standards should be applied. IFT Notes focus on the guidance and recommended compliance procedures. Read the examples (applications of the standards) from the curriculum.

Standard I: Professionalism

Standard 1 (A) Knowledge of the Law

Members and Candidates must understand and comply with all applicable laws, rules, and regulations of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.

Interpretation:

You, as a member or candidate, must be aware of all laws where you conduct business. Stating that you are not aware of the laws and hence a violation occurred, will not be acceptable.

Guidance:

- Relationship between the Code and Standards and Applicable Law: Assume you are an investment adviser based in Malaysia. You are a Malaysian citizen and your clients are also based in Malaysia. Here the Malaysian law is the 'applicable law'. As a Level I candidate, the Code and Standards must also be considered. Let's assume that Malaysian laws prohibit participation of investment advisers in IPOs but the Code and Standards allow participation under specified circumstances, then **you have to follow the stricter law** – the Malaysian law in this case. If there is no applicable law or regulation, then Members and Candidates must follow the Code and Standards.
- Investment products and applicable laws: Follow the stricter law.
- Participation in or association with violations by others: You are responsible for violations in which you *knowingly* participate or assist. (*Knowingly* is the key word here.) Assume you are part of a group and you have reasonable grounds to believe a violation is taking place. Under such circumstances:
 - First, make an attempt to stop the behavior by bringing it to the notice of your supervisor/compliance department.
 - Seek the advice of independent legal counsel if the compliance department was not helpful.
 - If this doesn't work, dissociate yourself with that activity. Dissociation varies based on your role in the organization; it could be:

- Removing your name from the investment reports and recommendations.
 - Asking for a different assignment.
 - Refusing to accept a new client or continuing to advise the current client.
 - In extreme cases, leave the organization.
- Not taking an action after reporting a violation (and continuing association with the illegal activity), can be considered as participating in the illegal or unethical conduct.
- If you are not sure that a violation is taking place, then the appropriate action would be to seek the advice of legal/compliance counsel.
- CFA Institute does not compel you to report violations to the government or regulatory organization unless required by law.

Recommended procedures for compliance:

- Stay informed: Have a procedure or regular training to keep employees informed of the changes in applicable laws, rules, regulations etc.
- Review procedures: Periodically review firm's written compliance procedures to ensure it conforms to the applicable law.
- Maintain current files: Latest copies of applicable rules and regulations should be available for reference.
- Legal counsel: If in doubt how to respond to a possible violation, seek the advice of legal/compliance personnel.
- Dissociation: Document the violation if you are dissociating from an illegal activity; urge the firm to take steps to cease the activity, and resign in extreme cases.
- Advise/encourage your firm to:
 - Develop and/or adopt a code of ethics.
 - Provide information on applicable laws: make all the information regarding laws and rules available in a central location.
 - Establish procedures for reporting violations: make it easy to report violations.

Standard 1 (B) Independence and Objectivity

Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

Interpretation:

Maintain independence and objectivity. Do not compromise your independence and objectivity under any circumstance as it can hurt not just your firm, but the whole industry. For instance, assume you are writing a research report and the firm you are covering gives you an expensive gift. Accepting the gift may shroud your judgment to be impartial and give an objective report.

Guidance:

- Buy-side clients: Assume you work in the research department of a large brokerage firm and you cover pharmaceutical firms. Your research reports are disseminated to a large audience including institutional clients (buy-side clients) such as mutual funds. Assume a mutual fund has a large position in Pfizer stock that you are covering. You are about to give a negative view on the stock that buy-side clients will not be happy about as it will affect their portfolio's performance in the short-term, and attempt to influence you. It is important for analysts not to succumb to pressure and maintain their independence and objectivity.
- Investment banking relationships: Now assume your firm also has an investment banking (IB) division. Pfizer is a client of the firm, and the IB division is working closely on Pfizer's secondary offering. The IB division may influence research analysts to issue favorable research reports. But, as analysts, you must maintain your objectivity.
- Public companies: Pfizer, being a public company, may also try to influence analysts directly (through gifts) for a positive research report – a buy call. Analysts fear retaliation from the company if a negative view is given.
- Issuer-paid research: Assume a company is not being widely followed. If this company approaches you to write a research report for them, and compensates you, then there is a potential conflict of interest. The best practice for independent analysts is to negotiate a flat fee for the report independent of what the recommendation will be, and be thorough and objective with the report. Disclosure of the type of compensation is also important.
- Travel funding: It is best for candidates to use commercial transportation and pay for it themselves, or their firm's transport, and avoid paid travel by the client. Where commercial transportation is not available, members and candidates must accept modestly paid-for travel.
- Credit rating agency opinions: Credit rating agencies provide ratings for fixed-income products. If you are working at a rating agency, you may be offered incentives and compensation by the sponsoring company (companies issuing bonds) to issue a favorable rating. However, you should be objective about the analysis and ensure the processes at your agency do not result in a conflict of interest.
- Influence during the manager selection/procurement process: Assume a large pension fund is in the process of selecting an asset management company (AMC) to manage their assets. In order to get this business, AMCs may try to influence the hiring manager at the pension fund by giving gifts, etc. Irrespective of which side you are in the process (pension fund or AMC which is seeking business), do not solicit gifts or contributions either directly or indirectly that may affect your independence.
- Brokerage houses: Members and candidates hire secondary fund managers to manage specific assets, for trading and reporting. There may be attempts to influence them with gifts or compensation. It is important for members to not accept such gifts and stay objective about the hiring decision.

Recommended Procedures for Compliance:

- Protect the integrity of opinions.
- Create a restricted list for companies where a firm wants to disseminate only factual information, and no negative or positive opinion.
- Restrict special cost arrangements: use corporate aircraft only if commercial transportation is not available.
- Limit gifts: a strict limit for token gifts that can be accepted must be established.
- Restrict investments: Enforce prior approval for employees purchasing equity or equity-related IPOs.
- Review procedures.
- Establish an independence policy.
- Appointed officer: appoint a senior officer to ensure compliance with the firm's code of ethics.

Standard 1 (C) Misrepresentation

Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

A misrepresentation is any untrue statement, or omission of fact, or any statement that is otherwise false or misleading.

Interpretation:

The foundation of any client-customer relationship is trust. If trust is lost because of misrepresenting facts, it not only hurts you, but also hurts confidence in the entire profession and integrity of capital markets as well.

Guidance:

- Impact on investment practice: Assume your firm has been managing a large cap equity fund for several years and has added a small cap fund last year. If the firm claims it has years of experience managing small cap funds/stocks, then it would be misrepresenting facts.
 - Members and candidates must not misrepresent facts including their qualifications, or credentials. For instance, if you have cleared only two levels of the CFA program, you cannot claim to be a CFA charterholder.
 - When issuing a research report, you may be using third-party information. You must exercise care and diligence when using third-party information such as credit ratings, research, or marketing materials, to ensure there is no misrepresentation.
 - If you are using external managers to manage specific areas, you must not represent their investment practices as your own.
- Performance reporting:
 - If you have chosen a benchmark for your portfolio, are the strategies of both comparable? Are you choosing a benchmark because it makes the portfolio's

- performance look better?
- You must ensure the performance evaluation of your portfolio has a reasonable basis – why have you chosen the reference index or benchmark?
 - Provide pricing information of securities to clients on a consistent basis. Do not change pricing providers solely on the basis of higher value of a security. This is especially true of illiquid securities. This will be misrepresenting information as investors make the decision of whether or not to hold an illiquid security based on the information provided.
 - **Social media**: The language used on social media platforms such as Facebook and Twitter is often informal. However, members and candidates must ensure the information provided is the same as in traditional modes of communication. The format must adhere to the Code and Standards, even though there is a great deal of anonymity.
 - **Omissions**: Facts or outcomes must not be omitted, especially when it comes to performance measurement and attribution. For example, assume a manager had exceptional performance in the past three years, but negative returns in the three years preceding it. He must present the performance for the entire period and not omit years of bad performance; that is called cherry picking (or selective presentation).
 - **Plagiarism**: Plagiarism is using the work of others without acknowledging or attributing the source of information. Examples include:
 - Using the research report of another firm, and then redistributing it by changing the names.
 - A research report based on multiple sources of information without naming the sources.
 - Excerpts from articles with little or no change in wording.
 - Not naming specific references, but instead attributing to “leading investment analysts”.
 - Using charts and graphs without naming their sources.
 - Members and Candidates must disclose the source of information used in their reports. If it is paid for, then it must be disclosed. Sentences reproduced must be within quotes and the author named specifically.
 - **Work completed for employer**: Work (models/reports/research) done within a firm may be used by others in the firm without attribution. If the person who developed a model has left the firm, the firm can continue using it as it is a property of the firm without naming the person. However, no one can claim that the work done by the person who has quit the firm has been done by the one who is now using it.

Recommended Procedures for Compliance:

- **Factual presentations**: Each member and candidate must be aware of the firm’s and the individual’s capabilities and limitations. A written list of the firm’s available services should guide the employees who present to clients.
- **Qualification summary**: Each member and candidate should prepare a summary of

his/her qualifications and experience to present to clients. These must be periodically reviewed.

- Verify outside information: Ensure material from a third-party is accurate before presenting it to clients.
- Maintain web pages: Any information published on a web page must be current, and accurate.
- Plagiarism policy: Maintain copies of research reports/articles used in making your research report, attribute quotations to their source, and attribute summaries to their sources.

Standard 1 (D) Misconduct

Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

Guidance:

Any act that involves lying, cheating, stealing, or other dishonest conduct is a violation of this standard if the offense reflects adversely on a member's or candidate's professional activities. Although CFA Institute discourages any sort of unethical behavior by members and candidates, the Code and Standards are primarily aimed at conduct and actions related to a member's or candidate's professional life.

Some important points based on examples seen often:

- Using alcohol during business hours, though not illegal impairs a person's ability to think objectively.
- If a member or candidate declares personal bankruptcy, it is not misconduct. But, if the circumstances that led to bankruptcy include deceit or fraud, then it would be a violation and deemed as misconduct.

Recommended Procedures for Compliance:

- Code of ethics: Adopt a code of ethics that every member must adhere to.
- List of violations: Communicate to all employees a list of potential violations and the associated sanctions.
- Employee references: Do background (reference) checks of employees to ensure they have not had a brush with the law in the past and are eligible to work in the investment profession.

Standard 1 (E) Competence

Members and Candidates must act with and maintain the competence necessary to fulfill their professional responsibilities.

Guidance:

Standard I (E) requires members and candidates to have sufficient knowledge, skills, and abilities to work in a specific role with success.

Competence is not limited to the education level of a member or candidate. For example, a highly educated investment consultant may not have the experience to undertake consulting activities in an unfamiliar industry.

Over time, the professional responsibilities of members and candidates may change or expand, requiring new or different knowledge, skills and abilities. Members and candidates must improve their skills and abilities as their careers progress.

Recommended Procedures for Compliance

Members and candidates should consider the following activities

- Regularly participate in professional development or continuing education programs
- Study for or earn professional certifications or designations
- Attend conferences, seminars, or webinars
- Regularly participate in training offered by their employer
- Engage in informal continuing education or self-study by reading relevant articles, treatises, and publications
- Participate in expert groups or organizations
- Acquire new skills or knowledge, as necessary, when their professional responsibilities change

Standard II: Integrity of Capital Markets

Standard II (A) Material Nonpublic Information

Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

Guidance:

- What is material information? Material information is one that, if disclosed, can have an impact on the price of a security, or information that investors would want to know before making an investment decision. For example, information that the CEO of a company was involved in a scandal to manipulate financial statements and is going to be arrested, is material information. Other common examples include mergers and acquisitions, new product licenses, changes in management, bankruptcies, legal disputes, etc.
- What constitutes “nonpublic” information? As the name implies, information that has not been made public is called nonpublic information. For instance, if a pharmaceutical company has just received news that a particular drug has been approved by FDA and it

is not made public yet, then it constitutes nonpublic information. This is also material information as it is something investors would like to know before investing in the company.

- **Mosaic theory:** As per the Mosaic theory, analysts are free to act on public and nonmaterial nonpublic information without risking violation. Let's take an example from the curriculum. An analyst is researching a company in the furniture industry. He analyzes the public disclosures, and speaks with many furniture retailers on which he bases his recommendation report. The information gathered from furniture retailers is an example of nonmaterial nonpublic information because the information is not public, and not material by itself to influence the stock prices in any way.
- **Social media:** Members and candidates must ensure that information obtained from closed groups on social media (Facebook, LinkedIn) is accessible to the public through other sources.
- **Using industry experts:** Using experts is appropriate as long as members are not requesting or acting on material nonpublic information.
- **Investment research reports:** Assume you are a well-known analyst and your recommendation reports might impact stock prices. Since you are not an insider and did not base your report on insider information, Standard II (A) does not apply. In this case, you are not required to make the report public. If the public wants access to the report, they can be asked to pay for your services.

Recommended Procedures for Compliance:

- **Achieve public dissemination:** Take steps to publicly disseminate material nonpublic information. Ensure no investment action is taken based on the information.
- **Adopt compliance procedures:** Adopt compliance procedures to prevent the misuse of material nonpublic information. Ex: review employee trading, investment recommendations, and interdepartmental recommendations.
- **Adopt disclosure procedures:** Same information should be communicated to the market in an equitable manner. The information received by buy-side clients should be the same as sell-side clients, and the same goes for large firms and small firms.
- **Issue press releases:** Press releases must be made before conference calls and analyst meetings so that new information is disclosed at such gatherings.
- **Firewall elements:** A firewall is an information barrier created to prevent the flow of material nonpublic information within a firm; for instance, between the brokerage and investment banking departments of a firm. Listed below are a few ways a firewall is implemented:
 - Review of employee trading.
 - Route interdepartmental communications through the compliance or legal department.
 - Document how to enforce procedures to limit information flow within the firm.
 - Review/restrict proprietary trading when a firm is in possession of material

nonpublic information.

- Appropriate interdepartmental communications: Document procedures for how interdepartmental communications must occur, review trading activity, and what actions to take if violations occur.
- Physical separation of departments: To prevent sensitive information flowing from one department to another. Ex: IB/corporate finance to be physically separated from sales and research of a brokerage firm.
- Prevention of personnel overlap: An employee should be on only one side of the firewall. For instance, an employee working in the commercial lending department of a bank must not be associated with its trust/research departments.
- A reporting system: Have a reporting system in which authorized people can review and approve communications between departments. If sharing of certain information is necessary across the firewall, then a designated officer must ascertain whether sharing is essential and must monitor the process.
- Personal trading limitations: Enforce restrictions on personal trading by employees. Monitor both proprietary and personal trading.
- Record maintenance: Maintain records of interdepartmental communication.
- Proprietary trading procedures: Outline procedures for under what situations there should be restrictions on proprietary trading:
 - Market making: Restrictions on trading if the firm is a market maker can be counterproductive as it may be a signal to traders that the firm is in possession of some material nonpublic information. The firm must take the contra side of unsolicited customer trades.
 - Arbitrage trading: Must not engage in proprietary trading if it is in possession of sensitive information.
- Communicate to all employees: Educate employees through trainings on how to identify material nonpublic information and how to act (consult a supervisor/compliance officer) if they possess such information. Circulate written compliance policies and procedures to all employees.

Standard II (B) Market Manipulation

Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

What it includes:

- Disseminating false information into the market.
- Misleading market participants by distorting prices.

Guidance:

- Information-based manipulation: Spreading false rumors to induce trading by others. For example, an analyst may pump false information into the market through blogs or some

other media to artificially inflate stock prices.

- **Transaction-based manipulation:** Transactions that artificially affect the prices or volume of a security. For example, if transactions show a security to be more liquid, then market participants perceive it favorably and may buy. For example, a large firm may have offices in Tokyo and Chicago. One office may sell a large number of shares and the other office may buy. While it may appear as if the liquidity/trading volume of the security is up. But, in reality, the trading was within the firm.

Standard III: Duties to Clients

Standard III (A) Loyalty, Prudence, and Care

Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

Interpretation:

Client interests come first, followed by the employer and, then personal interests of the member or candidate. The only exception is that the integrity of capital markets must take precedence over the client's interests if there is a conflict. Prudence requires caution and discretion. When handling funds of a client, prudence requires that you treat them with the same skill, care, and diligence as you would treat your own funds.

Guidance:

- **Understanding the application of loyalty, prudence, and care:** Investment advisers have different job roles; some have fiduciary responsibilities that are imposed by law and require a higher level of trust than other business roles. Irrespective of whether or not they are in a fiduciary role, members and candidates are expected to work in the client's best interest, and be loyal, prudent, and exercise care in managing the client's portfolio.
- **Identifying the actual investment client:** Identify who is the actual client. It's often easy to define a client but there are instances when it may not be clear. For example, if a pension plan hires an investment manager, then the client is not the pension plan but the beneficiaries of the plan. In this case the hiring entity is not your client. In some cases, there may not be any direct clients or beneficiaries. Ex: a fund manager managing the fund to an index. In such cases, fund managers should invest according to the stated mandate.
- **Developing the client's portfolio:** Care must be taken in developing portfolios, which are consistent with the clients' objectives, circumstances, constraints, and risks. Investment decisions should be based on the overall portfolio, rather than the characteristics of an individual investment.
- **Soft commission (dollar) policies:** Assume a client has hired you to manage his funds. You have discretion over the selection of brokers to execute transactions. Conflicts may arise

if you use client brokerage (money paid by the client for trade execution) to purchase research services from the broker. This practice is called “soft dollars” or “soft commissions.” If you pay a higher brokerage commission than you would normally pay, to allow for the purchase of goods or services, without a corresponding benefit to the client, you have violated the duty of loyalty to your client.

- **Proxy voting policies:** Assume you are an investment manager and you have purchased 1 million shares of General Electric on behalf of your client. Since you are managing your client’s portfolio, you can vote on behalf of the client. You should perform a simple cost-benefit analysis to decide whether or not to vote. When you vote it should be in the best interest of the client (shareholder), not the company management. Your firm’s proxy voting policies should be disclosed to clients.

Recommended Procedures for Compliance:

- **Regular account information:** Submit a quarterly statement to the client that includes credits, debits, securities holdings, and transactions during the period. Indicate whether the client must hold or sell assets. And if sold, where the proceeds should be invested in and when.
- **Client approval:** If unsure of what course of action to take with respect to a client, members and candidates must discuss with the client in writing and take approval.
- **Firm policies:** Encourage firms to adopt these policies:
 - Follow all applicable rules and laws.
 - Establish the investment objectives of the client: return requirements, risk profile, experiences, and constraints.
 - Consider all the information when taking actions: the client’s needs and circumstances, the client’s portfolio, and an investment’s individual characteristics.
 - Carry out regular reviews: If a client’s circumstances have changed (sudden need for large sums of money, or an unexpected inflow of money), then they must be addressed.
 - Deal fairly with all clients with respect to investment actions.
 - Disclose conflicts of interest.
 - Disclose compensation arrangements: If a manager is compensated based on the returns generated for a client, then it must be disclosed to the client.
 - Maintain confidentiality.

Standard III (B) Fair Dealing

Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.

Interpretation:

The standard focuses on dealing *fairly and objectively* with all clients. It does not mean equally because the circumstances of every client will be different. Also, a firm may offer

different levels of services. A client paying a higher fee for a personalized service cannot be treated in an equitable manner with one who is not. Moreover, it is also not possible to communicate information to all clients at the same time as the modes of communication may vary (e-mail, phone, and fax).

Guidance:

- Investment recommendations: This point is for members and candidates whose primary role is to prepare investment recommendations to be disseminated to the public. Investment recommendation is any opinion to buy, sell, or hold a security/investment. This standard discusses how recommendations must be disseminated to clients:
 - All your clients must have a fair opportunity to act on the investment recommendation.
 - There should **not** be selective disclosure such that your large clients receive a report first and the smaller clients receive it later. There may be practical difficulties in reaching all clients at the exact same time because of time differences and modes of communication, but an effort must be made to communicate in an equitable manner.
 - There may be instances when you may change your recommendation. Let's assume you issued a buy recommendation for a stock erroneously. You changed it later to sell and if there are clients who have acted on the buy order but are not aware of the change to *sell*, you must advise them of the change before accepting the order.
- Investment action: This point is for members and candidates whose primary role is to take actions based on investment recommendations received either from within the firm or external sources.
 - Take care to treat all clients fairly.
 - IPO and secondary offerings: Distribute to all clients for whom the investments are appropriate. Allocation of the stock should be consistent with the policies of the firm.
 - Oversubscribed issues: Distribute on a pro rata and round-lot basis. Refrain from buying for individual and family accounts and free those shares for clients. But, if a family-member is a fee-paying client, then the family member must be treated on an equal basis as any other client.
 - Block trade: All accounts of clients in a block trade must be given the same execution price and charged the same commission fee.
 - Orders must be time stamped.
 - Orders are to be executed on a first-in and first-out basis.
 - Disclose to the client the allocation procedures that the firm follows.
 - Members and candidates must not withhold securities of IPOs, trading at a premium in the secondary market, for their benefit.

Recommended procedures for compliance:

- Develop firm policies.

- Limit the number of people who know that a recommendation is going to be disseminated.
- Shorten the time frame between the decision to make an investment recommendation and actual dissemination.
- Publish guidelines for pre-dissemination behavior: Firms must be encouraged to have guidelines that prohibit personnel, who know about the recommendation, from taking action or discussing it.
- Simultaneous dissemination: Once dissemination to all clients has happened, members and candidates may follow up with individual clients.
- Maintain a list of clients and their holdings.
- Develop and document trade allocation procedures (discussed above).
- Disclose trade allocation procedures.
- Establish systematic account review: Conduct periodic review to ensure no client is receiving preferential treatment and trades are based on the account's objectives. If the manager is selling from one account and buying it for another account, he must document the reasons for both the transactions.
- Disclose the levels of service and the associated fees to all clients.

Standard III (C) Suitability

1. When members and candidates are in an advisory relationship with a client, they must:
 - a. Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action, and must reassess and update this information regularly.
 - b. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
 - c. Judge the suitability of investments in the context of the client's total portfolio.
2. When members and candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

Interpretation:

Determine the suitability of an investment before taking action based on the clients' circumstances and other factors. It is the responsibility of members and candidates who provide investment advice to a client to determine the suitability of an investment. Sell-side analysts and other members who execute instructions are **not** responsible for suitability analysis.

Guidance:

- Developing an investment policy: Gather client information (personal data, objectives, risk, and circumstances) at the start of the relationship. Develop an IPS that outlines return requirements, risk tolerance, and all investment constraints. Also outline the roles and responsibilities of the parties in the advisory relationship, when reviews will happen and evaluation of the IPS will take place. Set the long-term capital market expectations. Develop an appropriate asset allocation strategy for the client.
- Understanding the client's risk profile: Measure a client's risk tolerance to match suitability and appropriateness of an investment. Is the use of derivative appropriate for a client's account? With leverage and limited liquidity, comes risk.
- Updating an investment policy: IPS is to be updated at least annually to reflect changes in market expectations and circumstances of the client. Needs and circumstances of the clients can change at any time and the investment recommendations/decisions must take note of this. Examples of changes in an individual's circumstances: tax status, number of dependents, liquidity needs, loss of job/change in current income, etc.
- The need for diversification: Combining different investments reduces the risk of a portfolio having all assets in a single investment. An investment that is relatively risky on its own may be suitable in the context of the entire portfolio.
- Addressing unsolicited trading requests:
 - Requests from clients for trades that do not align with the risk and return objectives of a client's IPS: Members and candidates must take efforts to balance the client's request while not deviating from the IPS.
 - Unsolicited requests that are not suitable investments: If your clients ask you to make a trade that is not in accordance with the IPS, then refrain from making the trade until you discuss it with the client. Educate the client about the deviation from the current IPS.
 - If the client insists on making the trade and if you think it will have a material impact on the portfolio, update the IPS. If the client refuses to have the IPS modified, then determine the future of the advisory relationship.
- Managing to an index or mandate: Invest according to the mandate. For example, assume you are a portfolio manager for a small cap fund and your mandate is to include stocks below a certain market capitalization. You would be deviating from the mandate if you buy large cap stocks even if you expect large caps to perform exceptionally well.

Recommended Procedures for Compliance:

- Investment policy statement: Both individual and institutional investors must have an IPS. The IPS should outline the following: client identification, investor objectives, investor constraints, and performance measurement benchmarks.
 - Regular updates: IPS is to be updated on a regular basis (at least annually) to reflect changing circumstances and capital market expectations.
 - Suitability test policies: Firms must be encouraged to have test procedures to determine
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the suitability of investments for different types of clients.

Standard III (D) Performance Presentation

When communicating investment performance information, members and candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

Guidance:

- Provide credible performance information to clients and prospective clients. Should not state that past performance can be obtained again.
- Avoid misstating performance or misleading clients.
- If the presentation is brief, make detailed supporting information available to clients and prospects on request.

Recommended Procedures for Compliance:

Applying the GIPS standards is recommended, but not required. Firms that claim compliance without applying GIPS standards must do the following:

- Consider the knowledge and sophistication of the audience.
- Present the performance of the weighted composite of similar portfolios rather than using a single representative account. Assume there are three portfolios with similar mandates worth 2 million, 10 million, and 8 million. If they generated returns of 9%, 2%, and 2%, respectively, then take a weighted average of returns.
- Include terminated accounts as part of performance history. Also state when those accounts were terminated.
- Include disclosures that fully explain the performance results being reported.
- Maintain the data and records used to calculate the performance being presented.

Standard III (E) Preservation of Confidentiality

Members and Candidates must keep information about current, former, and prospective clients confidential unless:

1. The information concerns illegal activities on the part of the client.
2. Disclosure is required by the law.
3. The client or prospective client permits disclosure of the information.

Guidance:

- Status of client: Even if an entity is no longer a client, members and candidates must maintain the confidentiality of client records.
- Compliance with laws: Comply with applicable law. If a client is involved in illegal activities and the applicable law requires members and candidates to maintain confidentiality, then the information must not be disclosed.
- Electronic information and security: Members and candidates need to be aware of possible accidental disclosures. They should take care when communicating sensitive

client information. For instance, assume two clients an investment manager is dealing with, have similar names. When sending an e-mail with updated IPS, the investment manager types in the name of the intended recipient and doesn't realize that it goes to the other client instead of the intended recipient. Such mistakes can have dire consequences.

- Professional conduct investigations by CFA Institute: If permissible under law, members and candidates must cooperate with PCP and provide information about a client in support of an investigation. Any information given to PCP stays confidential.

Recommended Procedures for Compliance:

- The simplest, most conservative, and most effective way to comply with Standard III (E) is to avoid disclosing any information received from a client, except to authorized fellow employees who are also working for the client.
- Communicating with clients: Follow firm-supported communication methods and compliance procedures when communicating confidential information.

Standard IV: Duties to Employers

Standard IV (A) Loyalty

In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

The order of this standard reveals the order of significance: if you recall, first was the integrity of capital markets followed by duties to clients, and now duties to employers.

Interpretation:

- Assume you work for an investment management firm and have committed to work 45 hours a week. During this time, you'll not indulge in any activity that will deprive your employer of your skills and abilities.
- Now, assume you are about to place a large buy order for a stock for a client. You are tempted to place an order for your own account before buying for the client. This is called front running and it must be avoided, as you must place your client and employer's interests before your own interests.
- Everything else takes precedence before duty to your own self. Of course, it's not a blanket statement that requires members and candidates to always put work ahead of personal commitments and important family obligations. The standard recommends members to enter into a dialogue with employers to strike a balance between work and personal life.

Guidance:

- The employer must not have rules/written policies that conflict with responsibilities of

members and candidates. If there are any, then you must encourage your employer to change those policies.

- Independent practice: Independent practice is engaging in a business activity where you get paid, and the work is not related to the employer. Assume you are thinking of starting an independent practice to work over the weekends or after-work hours. There are certain rules that govern this:
 - You must not start a practice that conflicts with the interests of your employer.
 - Obtain consent from your employer before starting the practice. Disclose the types of services you will render, the expected duration of the services, and the compensation.
 - Leaving an employer: Assume you have submitted your resignation and decided to leave your employer. There is a one-month notice period. During this period:
 - You must continue to act in the best interests of your current employer.
 - You must not reveal trade secrets to your new employer.
 - You must not misuse client lists.
 - You must not solicit existing clients to shift their business to the new employer.
 - Once you have left your current employer and are being paid by the new employer, you may seek business from old clients if you have not signed a non-compete agreement with the previous employer.
 - Guidelines for what is acceptable after starting work at a new firm:
 - It is okay to use skills and experience gained at the previous employer as they are not considered confidential. Ex: financial modeling skills acquired at the previous employer. Knowledge of the names of former clients is not considered confidential.
 - One must not use anything (records/work) stored in paper or electronic format from the previous firm. Ex: Excel model for the pharmaceutical industry developed at the previous employer.
 - Use of social media:
 - Follow firm policies with respect to social media for interacting with clients and prospective clients. Ex: when employees are leaving an organization, it may not be appropriate to announce it on social media as firms may have rules on how and when to announce this to clients.
 - The recommended practice is to have separate accounts for personal and professional social media activities.
 - If there are no firm rules, it's best to act in the spirit of the Standard and not engage in any activity that would harm the employer.
 - Whistle-blowing: Bringing insider knowledge of illegal/unethical activities in an organization to the attention of law enforcement activities is called whistle-blowing. Whistle-blowing is acceptable if the intent is to protect the integrity of capital markets and the client's interest. However, whistle-blowing is not acceptable if the intent is for personal gain.
 - Nature of employment: Understand the nature of employment (are you a full-time
-

employee or a contractor?). You need to be aware of the terms of the relationship: number of hours, compensation, benefits, work location, client expectations, etc.

Recommended procedures for compliance:

- Competition policy: Relates to the independent practice, we saw in the guidelines section. You must understand the rules/procedures of your firm with respect to pursuing an independent practice.
- Termination policy: Understand the termination policies of your employer. resignation process, how to disclose to clients/staff, are social media disclosures permitted /prohibited, how to transition ongoing research and account related responsibilities etc.
- Incident-reporting procedures: Be aware of incident-reporting procedures at your firm. If there is none, encourage your firm to adopt one.
- Employee classification: Understand your status within the firm: part-time, full-time, or contractor. Be aware of the policies that apply to your class.

Standard IV (B) Additional Compensation Arrangements

Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest, unless they obtain written consent from all parties involved.

Interpretation:

- Assume you are a portfolio manager working for an investment management firm. Assume a client has benefited immensely from your work, and would like to gift an expensive cruise trip for you and your family as a token of appreciation. This is an example of additional compensation.
- Assume you use a brokerage firm to execute orders for your clients. If the brokerage wants to send a gift so that you continue to direct business to them in the future, it is an example of additional compensation.

Guidance:

- Obtain permission before accepting compensation that might create a conflict. You must first disclose to your employer and obtain written consent for any compensation that may create a conflict.
- "Written consent" includes any form of communication that can be documented.
- Not all gifts need to be reported. For example, if a brokerage firm sends you a desktop calendar, or if a client sends you a pen as a token gift (not of significant value), then it need not be reported.
- Discuss possible limitations to their abilities to provide services that may be competing with your employer's during the negotiation and hiring process.

Recommended procedures for compliance:

- Make an immediate written report to your supervisor and compliance officer specifying

any compensation you propose to receive.

- The details of the report should be confirmed by the party offering the additional compensation, including performance incentives offered by clients. In our earlier example, where the client offered an expensive vacation, when you disclose the same to your employer, it must be validated by the client. This written report should state the terms of any agreement.

Standard IV (C) Responsibilities of Supervisors

Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

Interpretation:

- This standard applies to anyone who has supervisory responsibilities, irrespective of whether or not the employees under their supervision are CFA Institute members, CFA charterholders, or candidates.
- If the number of employees under supervision is large, then supervisors may delegate responsibilities to subordinates, but that does not absolve them of responsibility in case a violation happens. Supervisors must ensure their subordinates are aware of the rules, applicable laws, firm policies, Code and Standards, etc.
- They must have regular training programs on compliance policies for employees under their supervision.
- If the compliance procedures at a firm are inadequate, they must bring it to the attention of the firm's senior managers.
- If the compliance procedures are inadequate or non-existent, then members and candidates should decline supervisory responsibility.

Guidance:

- System for supervision
 - Understand the compliance procedures of the firm.
 - Ensure adequate compliance procedures are in place that cover all possible violations. It is not possible to cover every potential violation that may occur.
 - Once a violation is detected, a supervisor must immediately report the misconduct and initiate an assessment to determine the extent of wrongdoing. It is not sufficient to warn the employee or rely on his/her statements that it will not recur.
 - He must also ensure that the act is not repeated until the investigation is complete.
- Supervision includes detection
 - Supervisors are responsible for detecting violations.
 - Supervisors are responsible for ensuring compliance procedures are implemented and that they are followed through periodic review.
 - Assume you as a supervisor have taken adequate steps to ensure compliance procedures are in place. Despite this, a violation occurs. Since adequate steps were

taken, you as a member may not be in violation of the standard under these circumstances. However, it is an indication that the existing compliance procedures are not sufficient.

Recommended Procedures for Compliance:

- Encourage firms to adopt a code of ethics for strong ethical foundation.
- Have adequate compliance procedures to ensure the policies in the Code and Standards, and securities laws are implemented at the firm, and adhered to, on a daily basis.
- Distinguish between the code of ethics and compliance procedures. Keeping them separate helps serve their individual purpose.
 - Compliance procedures must be written in plain language, free of terminology, such that any average person can understand and assimilate them easily.
 - Assign a compliance officer who has the authority to implement the firm's compliance procedures.
 - Establish the hierarchy of supervision and assign duties among supervisors.
 - Once the compliance system is in place, supervisors must periodically monitor to detect violations and, if discovered, must take the necessary actions.
- Implementation of compliance education and training.
- Establish an appropriate incentive structure.
 - Supervisors and firms must analyze the compensation structure to see if it encourages profits at the expense of ethical behavior.
 - Is “*how*” profits are generated given less importance than “*how much*” profits are made for the firm?

Standard V: Investment Analysis, Recommendations, and Actions**Standard V (A) Diligence and Reasonable Basis**

Members and Candidates must:

1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

Interpretation:

The level of diligence and thoroughness of research depends on the investment philosophy the member/firm is following and the role of the member in the investment decision-making process.

Guidance:

- Define diligence and reasonable basis.
- When using secondary or third-party research (research conducted by someone outside the member's firm) make reasonable efforts to ensure third-party research is sound.

- Ensure the firm has a policy about periodic review of approved third-party research providers. If not, you must encourage the firm to adopt a formal review practice.
- You may rely on the judgment of others (senior managers) in your firm if you believe the due diligence done by them was adequate.
- When using quantitatively oriented research, ensure the soundness of models. You are not expected to become an expert in every technical aspect of the models, but you must understand the data, parameters, assumptions, and limitations of these models. Test the output of these models under various scenarios before distributing the product. Ensure that the model includes a broad range of scenarios – even high-risk and potentially negative outcomes that are not commonly encountered.
- Developing quantitatively oriented techniques: If you are involved in developing new models/algorithms, then you must exercise higher diligence in reviewing new products than individuals who would use these models. Include data for both positive and negative economic cycles. Test models using adverse volatility and performance expectations. Test the model for a wide range of input expectations.
- Selecting external advisers and sub-advisers: If you are using external advisers to manage a specific mandate, then you must diligently review them just as you would an individual fund/security. Review if the published return information is accurate. Understand the adviser's compliance procedures, investment process, and if he/she adheres to the stated strategy.
- Group research and decision making: Often, members and candidates are part of a group that collectively produces an investment analysis or research. The group arrives at a consensus and gives a recommendation. The names of the members are included in the report. If you do not agree to the final recommendation, but believe that consensus opinion has a reasonable and adequate basis, and is independent and objective, then you need not dissociate yourself or ask that your name be removed from the report.

Recommended Procedures for Compliance:

- Establish a policy that research reports must have a reasonable and adequate basis. Either an individual or a review committee consisting of a group of employees must be appointed to review the report before it is circulated to the outside world.
- Develop written guidance for analysts, supervisory analysts, and review committee that outline due diligence procedures if a recommendation has a reasonable and adequate basis.
- Develop criteria for assessing the quality of research.
- Develop written guidance for testing of all computer-based models.
- Develop measurable criteria for assessing outside providers. This relates to the guidelines for using external/third party research (we saw this in the previous section).

Standard V (B) Communication with Clients and Prospective Clients

Members and Candidates must:

1. Disclose to clients and prospective clients the nature of the services provided, along with information about the cost to the client associated with those services.
2. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios, and must promptly disclose any changes that might materially affect those processes.
3. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
4. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions, and include those factors in communication with clients and prospective clients.
5. Distinguish between fact and opinion in the presentation of investment analyses and recommendations.

Interpretation:

This standard emphasizes the need for communicating clearly and frequently with clients. It is important to communicate to clients what factors were considered while making the recommendation. If there is a change in the risk characteristics of a security or asset, then this must also be communicated.

Guidance:

- Nature of services and information on cost: Provide clients a description of the nature of services offered by your firm and the cost of these services. This will help clients make an informed decision.
If the services or costs change, members and candidates must update the disclosures and provide the updated information to all impacted clients and prospective clients on a timely basis.
- Informing clients of the investment process: Describe your/firm's investment decision-making process to the client. This must include the pros and cons, risks and limitations of the process.
 - Just communicating the final recommendation (for instance, buy/sell a security) to the client is not sufficient. You must explain in simple language the investment process.
 - If there is any change in the process, inform the client.
 - Communicate to the client if any external advisers are being used for their expertise to manage a specific strategy.
- Different forms of communication: Communication is not restricted to traditional written report. It could be in-person meetings, e-mail, telephone conversation, etc.

- Care should be taken when communicating through social media.
- If the recommendation is concise (stock-list), then you must notify clients that additional information will soon be made available.
- **Identifying risk and limitations:** Disclose to clients the risks and limitations of the investment process/product. For example, if a product has been in existence for two years, then the research is based on only on two years' worth of data and that needs to be communicated.
- **Report presentation:** In the report include those elements that were important for analysis and conclusion.
- **Distinction between facts and opinions in reports:** Assume you are recommending a sugar stock because you believe that the government will raise the export quota limit. But, this has not been done yet; so, it is just your opinion. It is important to distinguish between facts and opinion by stating this is an opinion. But, for instance, if you were presenting the performance of the past three quarters, then this would be a fact.

Recommended Procedures for Compliance:

The information included/excluded in research reports varies given the diverse nature of clients and investment assets. There is no specific checklist for what must be included. But firms must have a rigorous methodology to review research meant for dissemination to clients.

Standard V (C) Record Retention

Members and Candidates must develop and maintain appropriate records to support their investment analyses, recommendations, actions, and other investment-related communications with clients and prospective clients.

Interpretation:

Members and candidates must retain records that support their research, analysis, and conclusion. What records to maintain depends on the member involved in the decision-making process. Records can be maintained either in hard copy or electronic format.

Guidance:

- **New media records:** It is the member's/candidate's responsibility to maintain a record of information posted/discussed in social media even if the firm does not have a record retention policy yet. Examples include twitter/blog posts, Facebook updates, etc.
- Records created as part of any professional activity are the property of the firm; if a member decides to leave the firm, he/she cannot take the records or supporting documents without the consent of the previous employer.
- Members cannot reuse historical research reports if the supporting documentation is not available.
- Every country/jurisdiction where you operate may have certain rules for how much data to retain. For instance, a country's regulator may call for retaining data for the past five

years. Similarly, firms may also have policies for retaining research/communication records. CFA Institute recommends retaining records for at least **seven** years.

Recommended Procedures for Compliance:

- The responsibility to maintain records that support investment action generally falls with the firm rather than individuals.
- You should archive research notes and other documents that support investment-related communications.
- If the firm has policies and procedures to facilitate record retention, then you must follow them. If not, you must encourage your firm to adopt policies for preserving records.

Standard VI: Conflicts of Interest**Standard VI (A) Avoid or Disclose Conflicts**

Members and Candidates must avoid or make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, or employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

Interpretation:

Conflicts occur often in the investment profession. They occur between the interests of clients, interests of employers, or your own personal interests. Best practice is to avoid conflicts, when it is not reasonable to avoid a conflict, disclose the conflict of interest in plain language to employer, clients, or prospective clients.

Guidance:

- A conflict of interest is any matter that could reasonably be expected to impair independence and objectivity or raise a question about whether actions, judgement, or decision making is free from bias. The best practice is to avoid actual conflicts or the appearance of a conflict. When it is not reasonable to avoid a conflict, clear and complete disclosure to mitigate the conflict is necessary.
- Disclosure of conflicts to employers. Some examples:
 - Assume you are working in an investment management firm. You manage a client's portfolio that has performed extremely well. The client is happy and wishes to compensate you for this performance. This is a conflict of interest with other clients and you must disclose this to your employer.
 - Assume you volunteer at a charity organization that is in no way related to your work, and you are not paid for it. However, you are passionate about the work you do at this charity which keeps you busy on weekends and mentally occupied during the week, and is depriving your employer of your skills. You must disclose this potential conflict of interest to your employer.

- Assume you hold stocks in your personal account for which your firm has a *buy* recommendation and is suitable for many clients. This may create a conflict of interest.
- Firms create policies to prevent actions that may appear as a conflict of interest. Policies include restrictions on personal trading, outside board membership, etc.
- Disclosure to clients: There are numerous instances where a conflict of interest exists; these should be disclosed to clients so that they understand the cost of their investments and the benefits received by the firm. A few instances are highlighted below:
 - Assume you hold stocks of General Electric (GE). You are asking your client to buy shares of GE; it may create a potential conflict of interest as, if your client buys and the stock price increases, you will benefit from the movement.
 - You receive compensation (1% commission) from your employer when you recommend certain mutual funds. You must disclose this to the client as the client may believe this recommendation is keeping the client's best interests in mind. Following the disclosure, the client may decide whether the mutual fund is suitable or not.
 - Assume you issue a buy recommendation on General Electric and recommend your client to buy the stock. If your firm also has an investment banking relationship, for instance, then it must be disclosed to the client. The client can then decide if it is in his best interest, or the interest of the firm and GE.
- Cross-departmental conflicts: Assume you are a research analyst (sell-side analyst) working at a brokerage firm. Your firm has an investment banking department, and may pressurize you to write favorable reports for companies with whom they have an existing relationship or are trying to forge one. Ideally, existing companies should be on a restricted list. But, if that is not possible, then you must make a disclosure of the investment banking relationship in the recommendation report. Another example where such conflicts may arise is buy-side analyst/ banks with underwriting powers.
- Conflicts with stock ownership: Members and candidates must disclose any material ownership in a stock/investment that they are recommending to clients.
- Conflicts as a director: There are three possible conflicts of interest if you are an investment professional and serving as a director of a company:
 - Duties owed to clients and duties owed to shareholders of the company.
 - As a director, you may receive securities/options to purchase securities of the company as compensation. A conflict may arise if trading in these securities increases the value of the security.
 - As a director, you may be privy to material nonpublic information about the company. There may be a perception that the director communicates this information to his firm and investment recommendations are based on that information.

Recommended procedures for compliance:

- Disclose special compensation arrangements with the employer that might conflict with client interests, such as bonuses based on short-term performance criteria, commissions, incentive fees, performance fees, and referral fees.
- If the firm does not permit such disclosure, you should document the request and consider dissociating from the activity. For example, if you receive a 1% bonus from your firm for selling certain mutual funds and your firm does not permit disclosing this compensation, then you should consider dissociating from the activity.

Standard VI (B) Priority of Transactions

Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

Interpretation:

If you are trading for your own account, then you are the beneficial owner. But, assume the transaction happens in your children's or spouse's account. Even though those accounts are not in your name, you benefit from them and you are the beneficial owner. The account here applies to any account with whom you have a direct relationship.

Guidance:

- Avoiding potential conflicts: Conflicts between client's interest and investment professional's interest may occur. There is nothing unethical about managers, advisers, or mutual fund employees making money from personal investments as long as they follow these three rules:
 - The client is not disadvantaged by the trade. For example, if you are executing a sell trade, then it should not affect your clients in any way.
 - The investment professional does not benefit personally from trades undertaken for clients.
 - The investment professional complies with applicable regulatory requirements.
- Personal trading secondary to trading for clients: The order of executing trades is: clients, employers, and then your personal account, or one in which you are the beneficial owner. The rationale is to prevent personal transactions from adversely affecting the interests of clients or employers.
- Impact on all accounts with beneficial ownership: Members and Candidates may undertake transactions in accounts for which they are a beneficial owner, only after their clients and employers have had an adequate opportunity to act on a recommendation. For example, assume you are working as an investment manager and your group made a *buy* recommendation on a stock. The client must get the first opportunity to act on the recommendation, then the employer, and then you.
- How should family accounts be treated? : Assume a close family member is a client. He/she should receive the same level of service as any other client. If you have a beneficial relationship in the fee-paying account, then you may be subject to preclearance

or reporting requirements of the employer.

Recommended Procedures for Compliance:

- Limited participation in equity IPOs: Some IPO (initial public offerings) issues are highly sought after and the share price rises in value significantly after the issue is brought to the market. Usually, it is a hot IPO if the supply is limited and the demand is high. Purchase of the IPO by investment professionals creates a conflict of interest in two ways:
 - It may appear as if investment personnel are taking the opportunity away from clients for personal gain. For example, assume both you and your client are allotted 200 shares in an IPO. The client had applied for 400 but only got 200. Allotment to your account will make it seem as if some opportunity was taken away from the client for your gain.
 - The party that is giving the investment professional this opportunity to participate in the IPO is possibly trying to influence him/her in the future investment decisions.
- It is recommended that members and candidates should pre-clear participation in IPOs even where there is no appearance of conflict of interest, and stay away from equity IPOs. From a firm's perspective, it may not be right to follow a blanket policy that bans employees from IPOs. Instead, it would be appropriate to have reliable and systematic procedures in place to identify any conflict of interest, and dealt with by supervisors.
- Restrictions on private placements: Private placements are transactions where you get shares of a company through a private offering, and not through a public offering. The conflict of interest here is similar to that of IPOs as it may seem that this participation in private placement is a favor for future business deals. Assume you have participated in a private placement. When the investment goes public, it may seem as if you have a vested interest if you recommend the investment to clients regardless of its suitability.
- Establish blackout/restricted periods: To prevent front running (the practice of trading for one's personal account before client accounts), firms have blackout periods during which investment personnel cannot trade for their personal accounts. This is to safeguard the interests of the clients. The policy on blackout and restricted periods varies from firm to firm depending on their size. It can range from a total ban on trading to preventing the investment manager from front running.
- Supervisors must establish reporting procedures for investment personnel. For example:
 - Disclosure of holdings in which the employee has a beneficial interest: This should be done at the beginning of employment and at least annually thereafter.
 - Providing duplicate confirmations of transactions: Investment personnel must direct their brokers to provide duplicate copies of all the securities transactions done with them. It serves two purposes: a) discourages unethical behavior because there is an independent verification b) a clear transaction history and flow of money is available, and not just the holdings.
 - Preclearance procedures: Obtaining clearance for planned trades helps reduce

conflict of interest.

- Members and candidates must disclose to investors their firm's policies about personal investing/trading. It should be in simple language that investors can understand.

Standard VI (C) Referral Fees

Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

Interpretation:

- Assume you provide equity investment advisory service to a client. The client is now interested in making fixed income investments as well. So, you refer someone providing this service to the client. You receive a fee for this from the person/firm giving fixed income advice. As per this standard, you must disclose the fee you get for the referral.
- Another example is where you recommend your client to purchase a mutual fund, and the fund pays you a commission. You must disclose this arrangement to the client so that he/she can understand the full cost of the investment and the benefit you are receiving.
- Say you receive a reference from someone/firm, and you pay a referral fee to the party introducing the client. You must disclose to the client the fee paid for this referral.

Guidance:

- Advise the client or prospective client about any referral fees before entering into any formal agreement.
- Disclose the nature of the consideration or benefit. For example, flat fee or percentage basis, one-time fee, or continuing benefit based on performance must be disclosed.

Recommended Procedures for Compliance:

- Encourage your employer to develop procedures related to referral fees. The firm may completely restrict such fees.
- Provide clients notification of approved referral fee programs and provide the employer regular (at least quarterly) updates on the amount and nature of compensation received.

Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate

Standard VII (A) Conduct as Participants in CFA Institute Programs

Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.

Interpretation:

- This standard covers the conduct of CFA Institute and Members involved with the CFA Program.

- CFA Institute programs include the CFA program, certificate in investment performance measurement (CIPM), and the Claritas® Investment Certificate.
- The standard covers many aspects such as cheating on any CFA Institute examinations, violating the testing policies, disclosing confidential exam information to the public, and improperly using any association with the CFA Institute to further personal or professional goals.

Guidance:

- Confidential program information: Candidates are prohibited from disclosing confidential material related to the CFA exams. Examples of information that cannot be disclosed include:
 - Specific details of questions appearing in the exam.
 - Discussing what areas or formulas were tested on the exam.

However, candidates may discuss non-confidential information and curriculum material with others while preparing for the exam.

- Additional CFA program restrictions:
 - There are additional policies that define allowed and disallowed actions during the exam. Testing policies include calculator policy (only two calculators are allowed) and the personal belongings policy.
 - Members may participate as volunteers in various aspects of the CFA program such as grading, administering, or developing the exam. But they are not allowed to:
 - Disclose any material appearing on the exam.
 - How questions are scored.
 - Any information on the exam process.
- Expressing an opinion: Members are free to express their opinion or discontent with CFA Institute regarding its policies and procedures. For example, if you say the exam was not a good representation of the curriculum, then it is not a violation of the standard. However, if you discuss specific topics or questions, then it is a violation.

Standard VII (B) Reference to CFA Institute, CFA Designation, and CFA Program

When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA program, Members and Candidates must not misrepresent or exaggerate the meaning of or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA program.

Interpretation:

- It is not intended to prohibit factual statements related to the benefits of earning the CFA designation.
- However, the merits of CFA Institute, the CFA Program, and the Code and Standards must be expressed as the opinion of the speaker.
- This standard applies to all forms of communication.

- It is not allowed to state that someone with a CFA designation will exhibit superior performance.

Guidance:

- CFA Institute membership: CFA Institute member refers to regular/affiliate members of the CFA Institute who have fulfilled the following membership requirements:
 - Remit annually to CFA Institute a completed Professional Conduct Statement.
 - Annually pay CFA Institute membership dues.
- Using the CFA designation: Once you have earned the right to use the CFA designation, you must follow the rules associated with the usage of the designation. CFA charterholders are individuals who have earned this right by completing the CFA program and have the required years of work experience. They must also satisfy the membership requirements in order to use the designation.
- Referring to candidacy in the CFA program: Candidates may refer to their participation in the CFA program. A person is a candidate if the person appears for a specified examination after completing the registration process or the person has appeared for a specified examination, but the results are yet to be announced.
- Members and candidates must encourage their firms to create templates consistent with standard VII(B).

Instructor's Note: This is the most important reading in Ethics and will represent a major percentage of the Ethics questions on the Exam. To do well on this topic you should carefully study all the examples (Applications of the Standard) in the curriculum and also do as many practice questions as possible.

Summary

LO: Demonstrate the application of the Code of Ethics and Standards of Professional Conduct to situations involving issues of professional integrity.

Read the “Application of the Standard” segment for each standard in the curriculum.

LO: Identify conduct that conforms to the Code and Standards and conduct that violates the Code and Standards.

LO: Recommend practices and procedures designed to prevent violations of the Code of Ethics and Standards of Professional Conduct.

1.A. Knowledge of the law	Understand applicable law and rules. Comply with the more strict law. Do not knowingly participate /disassociate from such activity.
1.B. Independence and objectivity	Use reasonable care and judgment. Maintain independence and objectivity. Do not offer/solicit gifts.
1.C. Misrepresentation	Do not misrepresent facts/performance reports. Avoid plagiarism. Do not omit facts.
1.D. Misconduct	Aimed at professional life; acts like lying, cheating, and stealing affect professional reputation/integrity.
1.E. Competence	Have sufficient knowledge, skills and abilities to work in a specific role with success.
2.A. Material Nonpublic Information	Do not act or cause others to act on material nonpublic information. Achieve public dissemination. Not a violation: Mosaic Theory = material public information + nonmaterial nonpublic information.
2.B. Market Manipulation	Information-based manipulation: Blogs, other media to inflate stock prices. Transaction-based manipulation: Make a security to appear more liquid.
3.A. Loyalty, Prudence and Care	Use reasonable care and exercise prudent judgment. Place client's interests before your employer or your interests. Soft dollars should benefit the client. Strive for best execution.
3.B. Fair Dealing	Deal fairly and objectively with all clients. Note: it does not state <i>equally</i> because of different levels of service. Fee-paying family member should be treated no different than any other client. Disseminate reports without being partial. Same time is not possible because of different modes of communication.
3.C. Suitability	Develop IPS. Understand client's risk profile. Update IPS periodically.

3.D. Performance Presentation	Do not misstate performance. Ensure performance information is fair, accurate and complete.
3.E. Preservation of Confidentiality	Maintain confidentiality of current, former and prospective clients unless: a) law mandates disclosure b) illegal activities by client c) client permits disclosure.
4.A. Loyalty	Avoid front running. Get written consent from employer before starting an independent practice. You cannot take proprietary information, client lists of the previous employer.
4.B. Additional Compensation Arrangements	Do not accept gifts, benefits, or compensation that will create a conflict of interest.
4.C. Responsibilities of Supervisors	Ensure anyone under your supervision complies with applicable laws, rules, regulations, and Code and Standards.
5.A. Diligence and Reasonable Basis	Exercise diligence, independence, and thoroughness in analyzing investments and making recommendations. Be diligent and have a reasonable basis, even when using secondary or third-party research.
5.B. Communication with Clients and Prospective Clients	Disclose the nature of services provided and their costs. Disclose to clients the investment process. Identify risks and limitations. Distinguish between fact and opinion.
5.C. Record Retention	Maintain records that support your analysis and research. Code and Standards recommend storing records for at least seven years.
6.A. Avoid or Disclose Conflicts	Avoid or make full and fair disclosure of matters that may impair independence and objectivity. Disclosure to be made in plain language. Ex of conflicts: stock ownership, director, cross departmental (IB/research) conflicts.
6.B. Priority of Transactions	Any account from which you benefit makes you the beneficial owner. Personal trading secondary to trading for clients. Establish blackout periods to prevent front running. Limit participation in IPO.
6.C. Referral Fees	Disclose referral fee to clients, prospective clients, and employers.
7.A. Conduct as participants in CFA Institute Programs	Keep questions, exam information confidential. Comply with program restriction. You may express an opinion on the difficulty of exam, curriculum etc.

7.B. Reference to CFA Institute, the CFA designation, and the CFA program	Pay annual dues and fill professional conduct statement to claim membership. References to partial designation not allowed (CFA, Level 1). CFA mark can be used if you've cleared all three levels and fulfilled the membership requirements.
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